

ECO402

FINAL TERM PREPARATION

MOST IMPORTANT & REPEATED 110+ MCQS

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1. When the wage rate is Rs. 100 per hour and the rental cost of capital is Rs. 200 per hour, the equation of the Isocost line is:

- $1000 = 10(100L + 200K)$
- $1000 = 200(L + K)$
- $1000 = 100L + 200K$
- $1000 = 200L + 100K$

Correct Answer: $1000 = 100L + 200K$

2. Assume that a firm's production process is experiencing increasing returns to scale over a broad range of outputs. Long-run average costs over this range of output will tend to:

- Fall to a minimum and then rise.
- Increase.
- Remain constant.
- Decline.

Correct Answer: Fall to a minimum and then rise.

3. In the long run, which of the following is considered a variable cost?

- Expenditures for raw materials.
- Expenditures for capital machinery and equipment.
- All of the given options.
- Expenditures for wages.

Correct Answer: Expenditures for wages.

4. Which of the following is included in economic depreciation to make it equal to the user cost of capital?

Interest Rate – Value of Capital

- Interest Rate * Value of Capital
- Interest Rate + Value of Capital
- Interest Rate / Value of Capital

Correct Answer: Interest Rate * Value of Capital

5. The shape of the long-run supply curve of a constant-cost industry is:

- Horizontal.
- Upward-sloping.
- Downward-sloping.
- Vertical.

Correct Answer: Horizontal.

6. Agricultural products are produced in a perfectly competitive market because:

- Firms are price takers.
- All firms are producing perfect substitutes.

- All of the given options are correct.
- There are large producers/firms of agricultural products.

Correct Answer: All firms are producing perfect substitutes.

7. Which of the following measures Economies of scale?

- Slope of the Isocost line
- Cost-output elasticity
- Firm's expansion path
- Producer surplus

Correct Answer: Cost-output elasticity

8. Price ceilings:

- May decrease consumer surplus if demand is sufficiently inelastic.
- Always decrease consumer surplus
- Always increase consumer surplus.
- May decrease consumer surplus if demand is sufficiently elastic.

Correct Answer: May decrease consumer surplus if demand is sufficiently inelastic.

9. Most of the burden of a tax per unit of output will be borne by consumers when demand is relatively _____ and supply is relatively _____.

- Inelastic; elastic
- Inelastic; inelastic
- Elastic; elastic
- Elastic; inelastic
- **Correct Answer: Inelastic; elastic.**

10. Industry supply curve in the short run is the horizontal summation of:

- Short-run marginal cost curves.
- Short-run total cost curves.
- Short-run average cost curves.
- Marginal transformation curves.

Correct Answer: Short-run marginal cost curves.

11. When a product transformation curve is bowed out, there will be _____ in production.

Options:

- A. Diseconomies of scale
- B. Diseconomies of scope
- C. Economies of scale
- D. Economies of scope

Correct Answer: A. Diseconomies of scale

12. In the long run under perfect competition, a firm produces at a point where:

Options:

- A. Price is equal to long-run average cost
- B. Price is less than long-run average cost
- C. Price is greater than long-run average cost

D. Price is greater than long-run marginal cost

Correct Answer: A. Price is equal to long-run average cost

13. A firm in a perfectly competitive market cannot affect market price by changing the amount of output because:

Options:

- A. The short-run market price is determined solely by the firm's technology.
- B. The market price is determined (through regulation) by the government.
- C. The firm's output is a small fraction of the entire industry's output.
- D. The firm supplies a different good than its rivals.

Correct Answer: C. The firm's output is a small fraction of the entire industry's output.

14. The sum over all units produced of the difference between market price of the good and firm's marginal cost of production is:

Options:

- A. Maximum profit.
- B. Total revenue.
- C. Marginal revenue.
- D. Producer surplus.

Correct Answer: D. Producer surplus.

15. The producer surplus for a market can be measured as:

Options:

- A. Vertical intercept of the supply curve.
- B. Area under the supply curve to the left of equilibrium output.
- C. Area between the equilibrium price line and the supply curve to the left of equilibrium output.
- D. Area under the demand curve to the left of equilibrium output.

Correct Answer: C. Area between the equilibrium price line and the supply curve to the left of equilibrium output.

16. Producer surplus is measured as the:

Options:

- A. Area above the supply curve up to the market price.
- B. Area under the demand curve above market price.
- C. Entire area under the supply curve.
- D. Area under the demand curve above the supply curve.

Correct Answer: A. Area above the supply curve up to the market price.

17. Revenue is equal to:

Options:

- A. Price times quantity minus marginal cost.
- B. Price times quantity minus total cost.
- C. Price times quantity minus average cost.
- D. Price times quantity.

Correct Answer: D. Price times quantity.

18. Suppose output of two automobile firms, one is producing cars and other is producing trucks, is greater than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

Options:

- A. Increasing returns to scale.
- B. Diseconomies of scope.
- C. Economies of scale.
- D. Decreasing returns to scale.

Correct Answer: C. Economies of scale.

19. Suppose automobile company is producing cars and trucks. If there are economies of scope, the product transformation curve between cars and trucks will be:

Options:

- A. A straight line.
- B. Bowed inward (convex).
- C. A rectangle.
- D. Bowed outward (concave).

Correct Answer: B. Bowed inward (convex).

20. Most of the burden of a tax per unit of output will be borne by consumers when demand is relatively _____ and supply is relatively _____.

Options:

- A. Inelastic; inelastic
- B. Inelastic; elastic
- C. Elastic; elastic
- D. Elastic; inelastic

Correct Answer: B. Inelastic; elastic

21. Average revenue for a monopolist is:

- A) Equal to marginal revenue (Correct)

- B) Less than marginal revenue
- C) Greater than marginal revenue
- D) Greater than price

22. In the long run under perfect competition, a firm produces at a point where:

- A) Price is greater than long run average cost
- B) Price is less than long run average cost

- C) Price is equal to long run average cost (Correct)

- D) Price is greater than long run marginal cost

23. The sum over all units produced of the difference between market price of the good and firm's marginal cost of production is:

- A) Producer surplus (Correct)

- B) Marginal revenue
- C) Maximum profit
- D) Total revenue

24. Due to imposition of a specific tax per unit on a product imposed by the government, consumer surplus will _____ and producer surplus will _____.

- A) Decrease; increase
- B) Decrease; decrease
- C) Increase; increase
- D) Increase; decrease

25. Producer surplus is measured as the:

- A) Area above the supply curve up to the market price (Correct)
- B) Entire area under the supply curve
- C) Area under the demand curve above market price
- D) Area under the demand curve above the supply curve

26. Elasticity of supply is represented by E_s and own price elasticity of demand by E_d , the fraction of the tax passed on to consumers in the form of higher prices is:

- A) $E_d/(E_d - E_s)$ (Correct)
- B) $E_s/(E_s - E_d)$
- C) $E_d/(E_s - E_d)$
- D) $E_s/(E_d - E_s)$

27. Suppose an automobile company is producing cars and trucks. If there are economies of scope, the product transformation curve between cars and trucks will be:

- A) Bowed inward (convex) (Correct)
- B) A rectangle
- C) Bowed outward (concave)
- D) A straight line

28. The long-run supply curve of an increasing cost industry is:

- A) Downward sloping
- B) Vertical
- C) Horizontal
- D) Upward sloping (Correct)

29. Which of the following costs always increase(s) as output increases?

- A) Average Fixed Cost
- B) Average Variable Cost

- C) Fixed Cost

- D) Total Variable Cost (Correct)

30. In a constant-cost industry, price always equals:

- A) LRMC and LRAC, but not necessarily minimum LRAC

- B) LRAC and minimum LRMC

- C) LRMC and minimum LRAC

- D) Minimum LRAC, but not LRMC (Correct)

31. Producer surplus is measured as the:

- A) Entire area under the supply curve.

- B) Area above the supply curve up to the market price. (Correct)

C) Area under the demand curve above the supply curve.

D) Area under the demand curve above market price.

32. Agricultural products are produced in perfectly competitive market because:

- A) All firms are producing perfect substitutes.

B) Firms are price takers. (Correct)

C) There are large producers/firms of agriculture products.

D) All of the given options

33. The long-run supply curve of an increasing cost industry is:

- A) Horizontal.

- B) Upward sloping. (Correct)

- C) Downward sloping.

- D) Vertical.

34. The sum over all units produced of the difference between the market price of the good and the firm's marginal cost of production is:

- A) Marginal revenue.

- B) Total revenue.

- C) Maximum profit.

- D) Producer surplus. (Correct)

35. Unemployment arises when firms are not allowed to pay:

- A) Less than minimum wage. (Correct)

- B) More than minimum wage.

- C) All of the given options.

- D) Equilibrium wage.

36. Import tariffs generally result in:

- A) A deadweight loss.

- B) Higher domestic prices.

- C) All of the given options. (Correct)

- D) None of the above.

37. Governments may successfully intervene in competitive markets in order to achieve economic efficiency:

- A) In cases of positive externalities only.

- B) In cases of both positive and negative externalities. (Correct)

- C) At no time; competitive markets are always efficient without government intervention.

- D) In cases of negative externalities only.

38. Which of the following is not a characteristic of perfectly competitive market situation?

- A) Less buyers and sellers (Correct)

- B) Free entry and exit

- C) Price taking

- D) All of the above are characteristics.

39. Which of the following measures Economies of scale?

A) Slope of cost line

▪ B) Cost-output elasticity (Correct)

▪ C) Producer surplus

▪ D) Firm's expansion path

40. Industry supply curve in the short-run is the horizontal summation of:

▪ Marginal transformation curves.

▪ B) Short-run average cost curves.

▪ C) Short-run marginal cost curves. (Correct)

▪ D) Short-run total cost curves.

41. The supply curve for a competitive firm is:

Options:

▪ Its MC curve above the minimum point of the ATC curve

▪ Its MC curve above the minimum point of the AVC curve. (Correct)

▪ Its entire MC curve.

▪ The upward-sloping portion of its MC curve.

42. The long-run supply curve of an increasing cost industry is:

Options:

▪ Vertical.

▪ Horizontal.

▪ Upward sloping. (Correct)

▪ Downward sloping.

43. Price ceilings:

Options:

▪ Always increase consumer surplus.

▪ Always decrease consumer surplus.

- May decrease consumer surplus if demand is sufficiently elastic.
- **May decrease consumer surplus if demand is sufficiently inelastic. (Correct)**

44. Which of the following is unlikely to occur as a result of a price support program?

Options:

- **An increase in quantity purchased. (Correct)**
- A reduction in producer surplus.
- A reduction in consumer surplus.
- An economic cost to the government.

45. When a product transformation curve is bowed out, there will be:

Options:

- **Economies of scope. (Correct)**
- Economies of scale.
- Diseconomies of scope.
- Diseconomies of scale.

46. Which of the following is correct?

Options:

- Accounting profit = Revenue[®] – labor cost (wL)
- Accounting profit = Revenue[®] + labor cost (wL)
- Accounting profit = Revenue[®] – labor cost (wL) * Quantity
- **Accounting profit = Revenue[®] + labor cost (wL) * Quantity (Correct)**

47. Governments may successfully intervene in competitive markets in order to achieve economic efficiency:

Options:

- **In cases of both positive and negative externalities. (Correct)**
- In cases of negative externalities only.
- In cases of positive externalities only.
- At no time; competitive markets are always efficient without government intervention.

48. Suppose the output of two automobile firms, one is producing cars and the other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

Options:

- Decreasing returns to scale.
- **Economies of scope. (Correct)**
- Economies of scale.
- Increasing returns to scale.

49. The shape of the long-run supply curve of a constant-cost industry is:

Options:

- Upward-sloping.
- Downward-sloping.
- Vertical.
- **Horizontal. (Correct)**

50. The long-run supply curve of a decreasing cost industry is:

Options:

- Horizontal.
- Vertical.
- Upward sloping.
- **Downward sloping. (Correct)**

51. Which of the following factors determine the Firm's elasticity of demand?

- All of the given options.**
- Nature of interaction among firms.
- Number of firms.
- Elasticity of market demand.

52. An electric power company uses block pricing for electricity sales. Block pricing is an example of:

- First-degree price discrimination.
- Second-degree price discrimination.**
- Block pricing is not a type of price discrimination.
- Third-degree price discrimination.

53. Which of the following is NOT associated with a high degree of monopoly power?

- A small number of firms in the market.
- Significant barriers to entry.
- Significant price competition among firms in the market.**
- A relatively inelastic demand curve for the firm.

54. Governments may successfully intervene in competitive markets in order to achieve economic efficiency:

- At no time; competitive markets are always efficient without government intervention.
- In cases of both positive and negative externalities.**
- In cases of positive externalities only.
- In cases of negative externalities only.

55. A monopolist firm will determine its profit maximizing level of output where:

- Marginal revenue equals marginal cost.**
- Price equals marginal cost.
- Total revenue equals average total cost.
- Price equals marginal revenue.

56. In the long run, if a firm is facing higher average cost than the marginal cost; then certainly per unit total cost will:

- Be at minimum level
- Rise
- Remain constant
- Fall**

57. Elasticity of supply is represented by E_s and own Price elasticity of demand by E_d , the fraction of The tax passed on to consumers in the form of Higher prices is:

- a. $E_d/(E_d - E_s)$.
- b. $E_s/(E_d - E_s)$.
- c. $E_s/(E_s - E_d)$.
- d. $E_d/(E_s - E_d)$.

58. A tennis pro charges \$15 per hour for tennis Lessons for children and \$30 per hour for tennis Lessons for adults. The tennis pro is practicing:

- a. First-degree price discrimination.
- b. Fourth-degree price discrimination.
- c. Second-degree price discrimination.
- d. Third-degree price discrimination.

59. In the long run under perfect competition a firm Produces at a point where:

- a. Price is greater than long run average cost
- b. Price is less than long run average cost
- c. Price is equal to long run average cost
- d. Price is greater than long run marginal cost

60. Government intervention without market failure creates:

- a. Inefficiency
- b. Economies of scope
- c. Efficiency
- d. Economies of scale

61. The “perfect information” assumption of perfect competition includes all of The following except one. Which one?

- Consumers know their preferences.
- Consumers know their income levels.
- Consumers know the prices available.
- Consumers can anticipate price changes.

62. Incremental cost is the same concept as _____ cost.

- Average
- Marginal
- Fixed
- Variable

63. A production function assumes a given:

- Technology.
- Set of input prices.
- Ratio of input prices.
- Amount of output.

64. Assume that beer is an inferior good. If the price of beer falls, then the Substitution effect results in the person buying _____ of the good and the Income effect results in the person buying _____ of the good.

- More, more
- More, less
- Less, more
- Less, less

65. Producer surplus for the whole market can be thought of as:

- Total profit.
- Variable operating profit plus factor rents.
- Total profit minus factor rents earned by lower cost firms.
- Total profit plus factor rents earned by lower cost firms.

66. Baba Burgers has discovered there are economies of scope available to the Restaurant. Which is most likely to be a response to this discovery?

- Baba expands burger production, focusing on that one good.
- Baba contracts burger production.
- Baba adds grilled chicken sandwiches to the menu.
- Baba cuts back on the diversity of the menu.

67. The endpoints (horizontal and vertical intercepts) of the budget line: Measure its slope.

- Measure the rate at which one good can be substituted for another.
- Measure the rate at which a consumer is willing to trade one good for another.
- Represent the quantity of each good that could be purchased if all of the budget were
- Allocated to that good.

68. The “perfect information” assumption of perfect competition includes all of the following except one. Which one?

- Consumers know their preferences.
- Consumers know their income levels.
- Consumers know the prices available.
- Consumers can anticipate price changes.

69. The difference between the economic and accounting costs of a firm are:

- **The accountant's fees.**

- The corporate taxes on profits.
- The opportunity costs of the factors of production that the firm owns.
- The sunk costs incurred by the firm.

70. Elastic and steel are substitutes in the production of body panels for certain Automobiles. If the price of plastic increases, with other things remaining the Same, we would expect:

- The price of steel to fall.
- **The demand curve for steel to shift to the right.**
- The demand curve for plastic to shift to the left.
- The demand curve for steel to shift to the left.

71. Cost-output elasticity can be written and calculated as:

- **MC/AC.**
- AC/MC
- (AC)(MC)
- (AC)²(MC)

72. Fixed costs are fixed with respect to changes in:

- **Output.**
- Capital expenditure.
- Wages.
- Time.

73. The presence of a learning curve may induce a decision maker in a startup firm to choose:

- Low levels of output to exploit economies of scale.
- High levels of output to exploit economies of scale.
- Low levels of output to shift the average cost curve down over time.
- **High levels of output to shift the average cost curve down over time.**

74. Which of the following is true regarding the relationship between returns to scale and economies of scope?

- A firm experiencing economies of scope must also experience increasing returns to scale.
- **Economies of scale and economies of scope must occur together.**
- A firm experiencing increasing returns to scale must also experience economies of scope.
- There is no definite relationship between returns to scale and economies of scope.

75. Salman would prefer a certain income of \$20,000 to a gamble with a 0.5 probability of \$10,000 and a 0.5 probability of \$30,000. Based on this information:

- We can infer that Salman is risk neutral.
- We can infer that Salman is risk averse.
- **We can infer that Salman is risk loving.**

76. When the average product is decreasing, marginal product:

- Equals average product.
- Is increasing.
- Exceeds average product.
- **Is less than average product.**

77. Government intervention can increase total welfare when:

- There are costs or benefits that are external to the market.
- Consumers do not have perfect information about product quality.
- **A high price makes the product unaffordable for most consumers.**
- There are costs or benefits that are external to the market and consumers do not have perfect information about product quality.

78. If a competitive firm's marginal cost curve is U-shaped then:

- Its short run supply curve is U-shaped too.
- **Its short run supply curve is the downward-sloping portion of the marginal cost Curve.**
- Its short run supply curve is the upward-sloping portion of the marginal cost curve.
- Its short run supply curve is the upward-sloping portion of the marginal cost curve that lies Above the short run average variable cost curve.

79. Economies of scope refer to:

- **Changes in technology.**
- The very long run.
- Multiproduct firms.
- Single product firms that utilize multiple plants.

80. Although there are many reasons why a market can be non-competitive, the Principal economic difference between a competitive and a non-competitive Market is:

- The extent to which any firm can influence the price of the product.
- The size of the firms in the market.
- The annual sales made by the largest firms in the market.
- **The presence of government intervention.**

81. Indifference curves that are convex to the origin reflect:

- An increasing marginal rate of substitution.
- **A decreasing marginal rate of substitution.**
- A constant marginal rate of substitution.
- A marginal rate of substitution that first decreases, then increases.

82. The endpoints (horizontal and vertical intercepts) of the budget line:

- Measure its slope.
- Measure the rate at which one good can be substituted for another.

- **Measure the rate at which a consumer is willing to trade one good for another.**
- Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

83. Consider the following statements when answering this question: I. "In the long run equilibrium of a perfectly competitive market, a firm's producer surplus equals the sum of the economic rents earned on its inputs to production." II. "In the long run equilibrium of a perfectly competitive market, the amount of economic profit earned can differ across firms, but not the amount of producer surplus."

- I and II are true.
- I is true, and II is false.
- **I is false, and II is true.**
- I and II are false.

83. Suppose that the prices of good A and good B were to suddenly double. If good A is plotted along the horizontal axis:

- The budget line will become steeper.
- The budget line will become flatter.
- The slope of the budget line will not change.
- **The slope of the budget line will change, but in an indeterminate way.**

84. A country's government would like to raise the price of one its most important agricultural crops, coffee beans. Which of the following government programs will result in higher prices for coffee beans?

Select correct option:

- An import quota on coffee beans.
- An acreage limitation program which provides coffee bean farmers financial incentives to leave some of their acreage idle.
- An import tariff on coffee beans.
- **All of the given options**

86. Which of the following is NOT a generally accepted measure of the riskiness

Option Of an investment?

Select correct option:

- Standard deviation.
- Expected value.
- Variance.
- **None of the given options.**

87. Which of the following is a positive statement?

Select correct option:

- When the price of a good goes up, consumers buy less of it.
- **When the price of a good goes up, firms produce more of it.**

- When the Federal government sells bonds, interest rates rise and private investment is Reduced.
- All of the given options.

88. Rabia knows average total cost and average variable cost for a given level of Output. Which of the following costs can she not determine given this Information?

Select correct option:

- Average fixed cost
- Fixed cost
- Variable cost
- **Rabia can determine all of the above costs given the information provided.**

89. Which of the following is NOT true about price floors?

Select correct option:

- Consumer surplus is always lower than it would be in the competitive equilibrium.
- Producer surplus could be lower, higher, or the same as it would be in competitive equilibrium.
- Producer surplus could be negative as the result of a price floor.
- **Producers will often respond to a price floor by cutting production to the point at which price equals marginal cost.**

90. A production function in which the inputs are perfectly substitutable would Have isoquants that are:

Select correct option:

- Convex to the origin.
- L shaped.
- Linear.
- Concave to the origin.

91. For an inferior good:

Select correct option:

- The price elasticity of demand is negative; the income elasticity of demand is negative.
- The price elasticity of demand is positive; the income elasticity of demand is negative.
- **The price elasticity of demand is negative; the income elasticity of demand is positive.**
- The price elasticity of demand is positive; the income elasticity of demand is positive.

92. The short run is:

Select correct option:

- Less than a year.
- Three years.
- However long it takes to produce the planned output.
- **A time period in which at least one input is fixed.**

93. Any combination of products inside the production possibility frontier is:

Select correct option:

- Allocatively inefficient
- Consumer inefficient
- **Productively inefficient**
- None of the given option.

94. Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?

Select correct option:

- Preferences are complete.
- Preferences are transitive.
- Consumers prefer more of a good to less.
- **None of the given options.**

95. In 1970s the federal government imposed price controls on natural gas. Which Of the following statements is true?

Select correct option:

- These price controls caused a chronic excess supply of natural gas.
- **Consumers gained from the price controls, because consumer surplus was larger than it Would have been under free market equilibrium.**
- Producers gained from the price controls because producer surplus was larger than it Would have been under free market equilibrium.
- This episode of price controls was unusual, because it resulted in no deadweight loss to Society.

36. A production function defines the output that can be produced:

Select correct option:

- At the lowest cost, given the inputs available.
- With the fewest amount of inputs.
- **If the firm is technically efficient.**
- In a given time period if no additional inputs are hired.

97. A firm never operates:

Select correct option:

- At the minimum of its ATC curve.
- At the minimum of its AVC curve.
- On the downward-sloping portion of its ATC curve.
- **On the downward-sloping portion of its AVC curve.**

98. When a product transformation curve is bowed outward, there are _____ in production.

- Economies of scope
- **Economies of scale**
- Diseconomies of scope
- Diseconomies of scale

99. The marginal rate of technical substitution is equal to the:

- Slope of the total product curve.
- Change in output minus the change in labor.
- **Change in output divided by the change in labor.**
- Ratio of the marginal products of the inputs.

100. Consider two goods X and Y available for consumption. Assume that the price of X changes while the price of Y remains fixed. For these two goods, the Price-consumption curve illustrates the:

- **Relationship between the price of X and consumption of Y.**
- Utility-maximizing combinations of X and Y for each price of X.
- Relationship between the price of Y and the consumption of X.
- Utility-maximizing combinations of X and Y for each quantity of X.

101. Assume that two investment opportunities have identical expected values of \$100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer Investment opportunity:

- A because it has less risk.
- A because it provides higher potential earnings.
- **B because it has less risk.**
- B because of its higher potential earnings.

102. The law of diminishing returns refers to diminishing:

- Total returns.
- **Marginal returns.**
- Average returns.
- All of the given option

103: If the isoquants are straight lines, then:

- Inputs have fixed costs at all use rates.
- **The marginal rate of technical substitution of inputs is constant.**
- Only one combination of inputs is possible.
- There are constant returns to scale.

104. The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the variable cost?

- 200
- **5Q**
- 5
- $5 + (200/Q)$

105. The demand curve facing a perfectly competitive firm is:

- The same as the market demand curve
- Downward-sloping and less flat than the market demand curve.
- **Perfectly horizontal.**
- Perfectly vertical.

106. The cost-output elasticity is used to measure:

- Economies of scope.
- **Economies of scale.**
- The curvature in the fixed cost curve.
- Steepness of the production function.

107. The budget line in portfolio analysis shows that:

- The expected return on a portfolio increases as the standard deviation of that return increases.
- The expected return on a portfolio increases as the standard deviation of that return decreases.
- **The expected return on a portfolio is constant.**
- The standard deviation of a portfolio is constant.

108. A Rolling Stones song goes: "You can't always get what you want." This Echoes an important theme from microeconomics. Which of the following statements is the best example of this theme?

- Consumers must make the best purchasing decisions they can, given their limited incomes.
- Workers do not have as much leisure as they would like, given their wages and working Conditions.
- Workers in planned economies, such as North Korea, do not have much choice over jobs.
- **Firms in market economies have limited financial resources.**

109. Compared to a tariff, an import quota, which restricts imports to the same amount as the tariff, will leave the country as a whole:

- **Worse off than a comparable tariff.**
- Not as bad off as a comparable tariff.
- About the same as a comparable tariff.
- Any of the above can be true.

110. Any combination of products inside the production possibility frontier is:

- Allocatively inefficient
- Consumer inefficient
- **Productively inefficient**
- None of the given option.

111. In the long run, which of the following is considered a variable cost?

- Expenditures for wages.
- Expenditures for raw materials.
- **Expenditures for capital machinery and equipment.**
- All of the given options.

112. Two firms, each producing different goods, can achieve a greater output than One firm producing both goods with the same inputs. We can conclude that the production process involves:

- Diseconomies of scope.
- **Economies of scale.**
- Decreasing returns to scale.
- Increasing returns to scale.

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<https://whatsapp.com/channel/0029VajbFwiGOj9IkVXYo02w>

1st Community link

<https://chat.whatsapp.com/JSL7hq2zPw33ZtkMK2yctx>

2nd Community link

<https://chat.whatsapp.com/IWSnZH3hjWp2KzPxiJDeuL>
